

Being a 1099 Independent Contractor — A Coordinator's Plain-English Guide

Educational only — not tax or legal advice. Tax rules change and depend on your situation and state. Confirm specifics with a CPA or tax professional. Figures/thresholds below are general and can change year to year.

As a Cirqlback Community Coordinator, you are an **independent contractor**, not an employee. This guide explains what that means, what you're responsible for, and how to set yourself up correctly.

1. The vocabulary (this trips everyone up)

- **1040** — the personal income-tax return *everyone* files each year (Form 1040). It is **not** a type of worker. Both employees and contractors file a 1040.
- **W-2 employee** — a company withholds your taxes, pays half your Social Security/Medicare, and may offer benefits.
- **1099-NEC independent contractor** — you are self-employed. **No taxes are withheld** for you. The company reports what it paid you on **Form 1099-NEC** (NEC = "nonemployee compensation") if it paid you **\$600 or more** in a year. **This is you.**
- **W-9** — the form *you* give Cirqlback so it can report your pay. You'll fill this out at the start.

So: you're a **self-employed contractor** who receives a **1099-NEC** from Cirqlback and reports that income on your **1040** (using Schedule C and Schedule SE).

2. What you're responsible for

Because nothing is withheld, **you** handle:

1. **Income tax** on your net earnings.
2. **Self-employment tax** — this is the big surprise for new contractors. It's about **15.3%** (Social Security + Medicare) on net self-employment earnings, because you pay *both* the employee and employer halves. You do get to deduct half of it. Budget for it.
3. **Quarterly estimated taxes** — the IRS expects you to pay as you go, roughly four times a year (typically mid-April, mid-June, mid-September, and mid-January). If you'll owe \$1,000+ for the year, you generally must make estimated payments or face a penalty. Many contractors set aside **~25–30%** of each payout in a separate account for taxes.
4. **State and local taxes**, if your state has them, and any local business license.

3. Setting yourself up (a simple checklist)

- ☐ **Give Cirqlback a W-9** with your legal name and taxpayer ID.
- ☐ **Decide how you'll operate:**
 - *Sole proprietor* (simplest) — you use your Social Security Number (or an EIN) and report on Schedule C. Fine to start.
 - *Single-member LLC* (optional, popular) — gives you a business name and **liability separation** between your business and personal assets. Still taxed like a sole proprietor by default. Consider once you're earning steadily or want the liability protection. (A CPA can advise; some also elect S-corp taxation at higher income to reduce self-employment tax — get professional advice before doing this.)
- ☐ **Get an EIN** (free from the IRS) — lets you avoid putting your SSN on W-9s and is required if you form an LLC or hire anyone.
- ☐ **Check local rules** — many cities/counties require a **business license** even for a solo contractor.
- ☐ **Open a separate bank account** for your Cirqlback income and expenses. Don't mix personal and business money.
- ☐ **Start simple bookkeeping** from day one (a spreadsheet or an app). Track every payout and every deductible expense.
- ☐ **Set aside ~25–30% of each payout** for taxes in a separate savings account.

4. Deductions (legally lower your taxable income)

As a self-employed person you can deduct **ordinary and necessary business expenses**, for example (keep receipts/records):

- Phone and internet (business-use portion)
- Mileage or vehicle costs for driving to businesses (track your miles)
- A home-office portion, if you qualify
- Software, subscriptions, and tools you buy for the work
- Marketing materials and printing (e.g., pitch one-pagers)
- Half of your self-employment tax (an "above-the-line" deduction)

Good records are everything — deductions you can't substantiate can be disallowed.

5. How Cirqlback pays you (in practice)

- You earn a **revenue share** (default **70%**) of what businesses in your territory pay, reconciled to a statement and paid out (often via **Stripe**). See your [Coordinator Guide](#) revenue section.
- At year end, if you were paid **\$600+**, Cirqlback will provide a **1099-NEC** (and file a copy with the IRS). Note: money paid to you through certain third-party processors may instead be reported by the processor on a **1099-K** — a CPA can help you reconcile so you don't double-count. Keep your own records regardless.

6. Why your "independent" status matters (and how to protect it)

Independent-contractor status is a legal classification, and both you and Cirqlback benefit from doing it correctly. Signs of a genuine contractor relationship — which the [Independent Contractor Agreement](#) is built around:

- You control **when and how** you work.
- You use **your own equipment** and cover your own expenses.
- You can **work for others**.
- You're paid for **results** (revenue share), not a salary or hourly wage with withholding.
- You're free to build your own methods and are not supervised like an employee.

(For Cirqlback's records: coordinators currently operate in Washington and other non-California states, which use the IRS common-law "control" factors. California, Massachusetts, and New Jersey use a stricter "ABC test" — if you're ever asked to coordinate there, the arrangement should be re-reviewed by an attorney.)

7. A simple first-year rhythm

1. **Now:** submit W-9, open a business bank account, start a tracking sheet, set your 25–30% tax-savings rule.
2. **Each payout:** log it, move your tax set-aside, note expenses.
3. **Quarterly:** make an estimated tax payment (a CPA or tax software can compute it).
4. **January–April:** you'll get your 1099-NEC; file your 1040 with Schedule C (profit/loss) and Schedule SE (self-employment tax).

8. When to get a professional

Talk to a **CPA or tax preparer** if: you're earning more than a few thousand dollars, thinking about an LLC or S-corp election, unsure about estimated payments, or hiring help. It usually pays for itself.

This guide is educational and general. It is not tax or legal advice, and it does not create any obligation for Cirqlback to advise you on your taxes. Please consult a qualified professional.